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1-C:

In the PPC diagram, position X lies outside the production possibility curve. The PPC shows the maximum attainable combinations of two goods when all resources are fully and efficiently used.

A point outside the PPC is unattainable with current resources and technology. This means the economy cannot currently produce at point X because it lacks sufficient factors of production (land, labour, capital, or enterprise) to do so. Therefore, Option C is correct.

Option A is incorrect. The point outside the PPC does not indicate an issue with the ratio of capital to consumer goods; it reflects resource limitations overall.

Option B is incorrect because unemployment causes an economy to operate inside the PPC, not beyond it. X lies outside, suggesting an issue unrelated with scarcity.

Option D is incorrect. Producing more consumer goods doesn't directly cause economic decline. Instead, it will incur opportunity costs in terms of the capital goods that will have to be foregone. Additionally, a decline in economic growth would have occurred if there was a leftward shift of the PPC.

2-D:

Public goods are defined by **non-rivalry** and **non-excludability**. Because private firms cannot charge users and cannot prevent non-payers from benefiting (free-rider problem), they are **not provided by the free market**. In a mixed economy, the government intervenes to provide these goods (like national defence or street lighting), correcting this market failure. Hence, Option D is correct.

Option A is incorrect because **demerit goods** like alcohol or tobacco are provided in a free market; in fact they are **overprovided** in a free market.

Option B is incorrect because **free goods** (like air or sunlight) are not produced at all, neither by free markets nor governments, since they are naturally abundant and have no opportunity cost.

Option C is incorrect as **private goods** (like food or clothing) are produced in a free market. Their characteristics (**rivalry and excludability**) make them suitable for private provision.

3-D:

Normative statements involve **value judgments** about what should be. Option D clearly expresses a **subjective opinion** that governments **should** share the cost, and is therefore normative.

Option A is incorrect. A specific estimate of \$1 billion is factual and testable, making it a positive statement.

Option B is incorrect. Saying the information is **non-rival** is a technical description of a public good, and also testable hence positive.

Option C is incorrect because the statement describes the **intent or design**, not a value judgment.

4-D:

Opportunity cost is the next best alternative foregone. When healthcare resources are reallocated to deal with a virus outbreak, the treatment of non-virus patients is delayed. This delay (**increased waiting times**) is a sacrifice made to treat virus patients, hence an example of opportunity cost.

Option A is incorrect because more hospital patients are a **direct consequence** of the virus, not an alternative forgone.

Option B is incorrect. Using personal protective equipment is a necessary response, not the **cost of foregone alternatives**.

Option C is incorrect as staff stress is a direct consequence of this policy, not an opportunity cost in economic terms.

5-B:

This is correct because profit is a residual income; it is not fixed like rent or interest. After a firm pays all its fixed and contractual costs (like rent to landowners and interest to capital providers), whatever remains is profit. This makes profit highly variable, as it is directly affected by changes in total revenue and total costs.

- In good economic conditions, profits may rise sharply if revenues increase faster than costs.
- In downturns, profits can fall drastically or even become negative (losses).

Thus, the share of national income derived from profits is more volatile, as it reflects changes in business performance and economic cycles more directly than other factor incomes.

A) Central banks influence interest rates and generally aim to keep them relatively stable as part of their mandate to ensure price stability. This indirectly stabilises interest income for capital owners (like lenders), especially compared to profit.

C) Rent being the smallest is not necessarily true, as landowners can earn substantial rental income, especially in high-demand areas. Also, the *size* of rent does not explain *why profit varies more*.

D) Even if wages are typically negotiated on an annual basis, this does not account for the high variability in profit. Wages may be relatively stable, but profit still varies greatly due to its dependency on multiple changing factors.

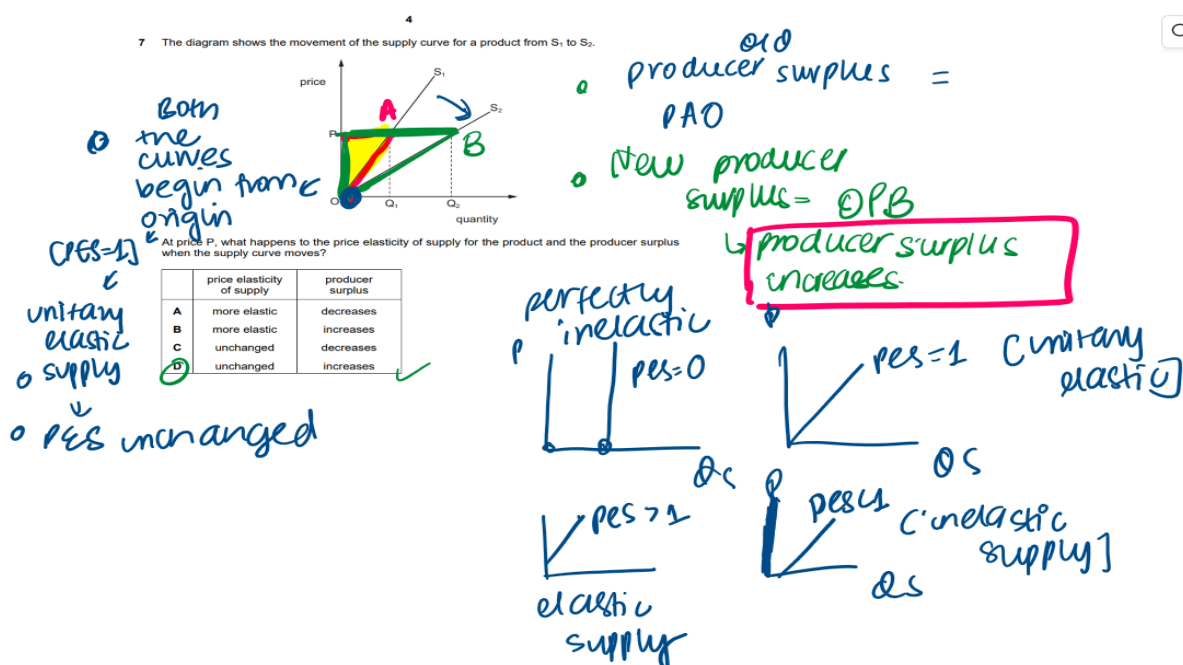
6-C:

-> A rise in gasoline demand can create shortages because supply often cannot immediately match a sudden increase in consumption, especially if production or distribution capacity is limited. This imbalance leads to shortages, putting an upward pressure on price as buyers compete for available fuel. These shortages then translate into queues.

-> A decrease in the supply of gasoline will create a shortage. This is because the available quantity of gasoline is less than the quantity demanded by consumers at the current price, leading to upward pressure on prices.

7-D: The **price elasticity of supply** depends on the **gradient** of the curve. Since both S_1 and S_2 begin from the origin, this represents that the supply is unitary elastic ($PES=1$). And since they appear to have the **same slope**, elasticity is **unchanged**.

But because more quantity is now sold at price P , the **area above the supply curve and below the price line** (i.e. **producer surplus**) increases. Thus, Option D is correct.



8-B:

8 The tables show the different quantities of a good demanded at different prices and levels of income.

price \$	quantity demanded
5	90
4	100
3	20
2	40
1	120

income \$	quantity demanded
48	120
24	40
16	20
10	10
8	9

Within the range of these figures, when are both price elasticity of demand and income elasticity of demand for this good inelastic?

A when price is low and income is high
 B when price is high and income is low
 C when price and income are both high
 D when price and income are both low

Handwritten notes:

- High price range (pointing to price 5, 4, 3)
- Low price range (pointing to price 2, 1)
- High income range (pointing to income 48, 24)
- Low income range (pointing to income 16, 10, 8)

Calculations:

Price Elasticity of Demand (PED):

$$\% \Delta \text{ in QD} = \frac{10 - 9}{9} \times 100 = 11.11\%$$

$$\% \Delta \text{ in price} = \frac{4 - 5}{5} \times 100 = -20\%$$

$$\text{PED} = \frac{11.11\%}{-20\%} = -0.55$$

Income Elasticity of Demand (YED):

$$\% \Delta \text{ in QD} = \frac{40 - 120}{120} \times 100 = -66.67\%$$

$$\% \Delta \text{ in Y} = \frac{24 - 48}{48} \times 100 = -50\%$$

$$\text{YED} = \frac{-66.67\%}{-50\%} = 1.33$$

Conclusion:

- Low income range (YED < 1) ⇒ inelastic
- High price range (PED < 1) ⇒ inelastic

Answer: B (when price is high and income is low)

9-C:

Instant noodles are described as an **inferior good**, as demand for them **rises when incomes fall**. A rise in unemployment means more people have **lower incomes**, leading to increased demand for cheaper, inferior goods like noodles. This explains the **rightward shift** from D1 to D2. Hence, Option C is correct.

Option A is incorrect. A fall in the price of dried fruit (a superior substitute) would extend QD of dried fruit, which is a superior good. Since this would shift demand away from noodles, it would reduce demand for noodles, shifting demand curve **left**, not right.

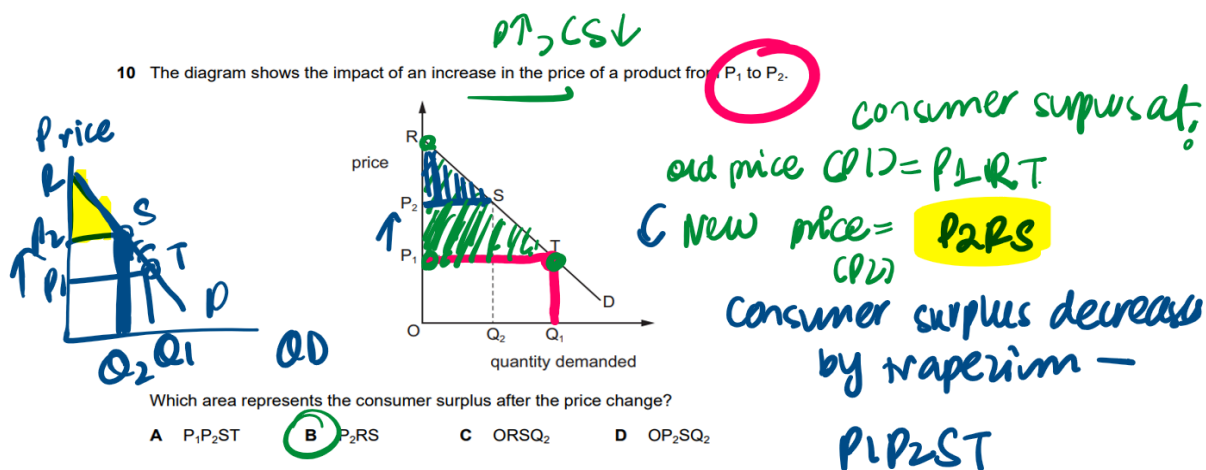
Option B is incorrect. A rise in real income would lead consumers to buy fewer inferior goods — again shifting demand leftward.

Option D is incorrect. A successful advertising campaign for dried fruit would **shift demand away** from noodles, as people now switch to dried fruit.

10-B:

Consumer surplus is the area below the demand curve and above the price line; it represents the extra utility consumers receive over what they pay. After the price increases from **P₁** to **P₂**, consumer surplus shrinks from **P₁TR** to **P₂RS**.

The **new surplus** is the triangle **P₂RS**, lying **above the price line P₂** and **below the demand curve**. Therefore, Option B is correct.



11-B:

Joint demand refers to goods that are **complementary**. They are consumed **together**, like smartphones and network services.

A fall in the price of connecting to a network increases the affordability of using a smartphone, making the device more attractive. This leads to a rise in demand for smartphones because the **complementary good** (the network connection) has become cheaper. This fits the concept of joint demand, making Option B correct.

Option A is incorrect. A fall in the price of the smartphone itself results in an extension in quantity demanded of smartphones, which in turn leads to a **movement along the demand curve**, not a shift. And it reflects own-price demand, not joint demand.

Option C is incorrect because a fall in the price of inputs, will reduce costs of production, thereby increasing **supply**, not demand. It will shift the supply curve of smartphones to the right but doesn't indicate joint demand.

Option D is incorrect. A rise in the price of a substitute (like a tablet) may increase smartphone demand due to **competitive demand**, not **joint demand**. This is because a tablet is a substitute and not a complement.

12-B:

A **minimum price** (also known as a price floor) is set **above the equilibrium price** to prevent the market price from falling below a certain level. Governments use it to protect producers (e.g. in agriculture). In this question, a **price floor** is explicitly described and the correct economic term for this is **minimum price**, so Option B is correct.

Option A is incorrect. A **maximum price** (price ceiling) does the opposite; it sets an upper limit beyond which prices cannot rise to stop prices from rising too high.

Option C is incorrect. A **subsidy** lowers the producer's cost of production but doesn't impose a "price floor."

Option D is incorrect. A **unit tax** raises costs of production by adding a fixed cost per unit sold. This reduces supply and the resultant shortages put an upward pressure on prices. It is not a legal price constraint like a price floor.

13-D:

Public goods are defined by **non-rivalry** and **non-excludability**. National defence fits both, as one person's protection doesn't reduce another's, and no one can be excluded because even the non-tax payers get to benefit from it. The private market would not provide it due to the **free rider problem**, so the state provides it. Hence, Option D is the best example of a public good.

Option A (a road) is incorrect. Roads are often **toll-based** (excludable) and suffer congestion (rivalrous). This means that they are not pure public goods.

Option B is incorrect because **free school lunches** can be **rivalrous** since supply is limited. In the case of free lunches, one person's consumption may reduce the amount available for others to consume.

Option C (Wi-Fi) is a **quasi-public good** — even if the government provides free wifi service that makes it non-excludable, it can still slow down with congestion (rivalrous).

14-D:

At the original equilibrium, the market price is **\$6** with a quantity of **800 units**. To increase the price to **\$10**, the government must **buy up the excess supply** created at the new price to prevent downward pressure.

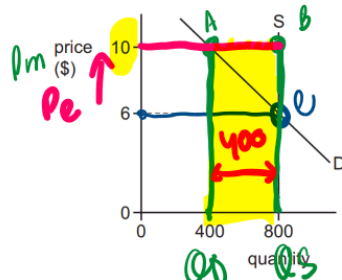
From the graph:

- At \$10, quantity supplied = 800 units
- At \$10, quantity demanded = 400 units

- **Excess supply = 400 units**

To maintain the price at \$10, the government must purchase **400 units** at the price of **\$10 each**:
 $400 \times \$10 = \4000 , making Option D correct

The diagram shows an initial market equilibrium for an agricultural product of \$6 and 800 units.



How much will the government have to spend to increase the market price to \$10?

$QD = 400$
 $QS = 800$
 $QS > QD = \text{surplus of } 400$
price = 10
 At price of 10, if it buys qty of 400,
TE = 4000 (400 x 10)

15-B:

A **budget surplus** occurs when government tax revenue exceeds government expenditure. Reducing the budget surplus means the government is either **spending more** or **taxing less**, both of which are **expansionary fiscal policies** that increase **aggregate demand (AD)**. Thus, Option B is correct.

Option A is incorrect. **Raising indirect taxes** (like VAT) will raise the prices of goods and services. This will reduce the real income of consumers, which will reduce the consumption of goods and services, thereby leading to a reduction in aggregate demand.

Option C is incorrect. **Removing subsidies** raises production costs and reduces Aggregate supply.

However, due to shortages, there may be a rise in prices. This can subsequently reduce real incomes, thereby reducing consumption of goods and services that may lead to a decrease in Aggregate demand.

Option D is incorrect. **Removing import quotas** may increase imports. When consumer demand shifts to foreign goods, this may reduce consumption of domestic goods and services in the economy, thereby leading to a fall in Aggregate demand.

16-C:

The **price index** measures changes in the cost of a typical basket of goods over time. If the index rises from **60 to 120**, it indicates that the **same goods now cost twice as much**.

A price index rising from 60 to 120 indicates a doubling of the price level or a 100% increase in the cost of goods and services within the index's basket. This means that the **cost of living has doubled**. Hence, Option C is correct.

Option A is incorrect. The data says **nothing about nominal income**; we have been only given information about a change in price index.

Option B is incorrect. If prices doubled, **real income would fall** unless nominal incomes rose too.

Option D is incorrect. Standard of living includes **non-price** factors like health, education, and access beyond cost of living.

17-C:

Cost-push inflation occurs when production costs rise, forcing producers to raise prices.

A **depreciation of the exchange rate** raises the prices of imported goods. When it increases the prices of imported raw materials, especially in import-dependent economies where the demand for imported components is price-inelastic, the quantity demanded for imported goods contracts by a relatively smaller percentage. As a result of which, import expenditures increase. These higher input costs will subsequently reduce Aggregate supply, shifting the **aggregate supply (AS)** curve leftward. As a result, there will be a rise in the general price level of an economy, indicating cost push inflation. Hence, Option C is correct.

Option A is incorrect. A fall in income tax increases disposable income and increases consumption spending, which will affect **Aggregate demand**, not costs.

Option B is incorrect. A rise in income tax reduces consumer spending after reducing disposable income but again affects **AD**, not AS.

Option D is incorrect. An **appreciation** would make imports cheaper, potentially **reducing** production costs and cost-push inflation.

18-C:

Short-run economic growth refers to a rise in **actual output**. **Skilled immigration** increases the **quantity and quality** of available labour, boosting production without requiring long-run capital or technological change. A surplus of labor in the economy reduces wage costs, subsequently increasing Aggregate Supply of the economy. This makes Option C correct.

Option A is incorrect. More students entering university **reduces** current labour supply. This will lead to short-term labor shortages in the economy, compromising short-run economic growth.

Option B (higher birth rate) increases the population, but these individuals won't enter the workforce for decades. It will have a long-term impact on the economy.

Option D (raising the school-leaving age) keeps more people in education and **reduces** the short-run labour supply. This will lead to short-term labor shortages in the economy, compromising short-run economic growth.

19-D:

GDP measures all output produced within a country's borders. **GNI** adjusts GDP by **adding net income from abroad** including **remittances**, profits, and income earned by residents overseas.

Remittances sent back by citizens working abroad are **included in GNI but not in GDP**, which makes Option D correct.

Option A is incorrect. Foreign investment affects GDP because it leads to **domestic production**, but it doesn't by itself cause a discrepancy with GNI unless income is repatriated abroad.

Option B and C (exports of capital and consumer goods) are included in both GDP and GNI; they don't explain the difference between the two.

20-C:

Balancing objectives like inflation, growth, employment, and equity involves **value judgments**. For example, choosing to prioritise low unemployment over low inflation is a **normative decision** based on the goals of the economy.

If a government prioritizes low unemployment, there is likely to be a trade off, as it often leads to high inflation. Hence, Option C is correct.

Option A is incorrect. Economic growth does not **automatically** ensure equitable income distribution. The idea that economic growth does not automatically ensure equitable income distribution is well captured by the Kuznets Curve hypothesis. Economist Simon Kuznets proposed that as an economy develops, income inequality first increases, before it begins to decrease.

Option B is incorrect. Output can increase through **capital-intensive** means without more workers, so employment doesn't always rise with output.

Option D is incorrect. A **stable rate of inflation** does **not mean zero inflation**; most governments target mild inflation (e.g. 2%).

21-D:

A decrease in the money supply is a **contractionary monetary policy**, which raises interest rates.

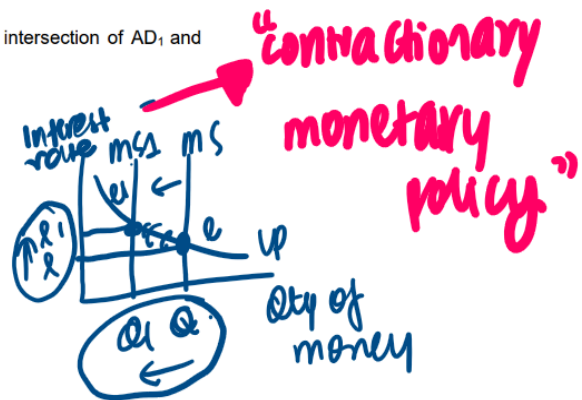
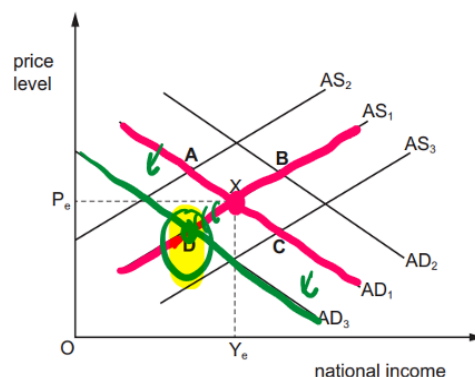
This raises costs of borrowing, reducing consumer spending and investment, which in turn shifts the **aggregate demand (AD)** curve **leftward**.

The diagram shows that as AD shifts left, equilibrium moves **left**, from point X to **point D**, indicating a fall in both national income and the price level. Hence Key D is correct.

- 21 The original equilibrium in the economy is represented by point X, the intersection of AD_1 and AS_1 , on the AD/AS diagram shown.

The government decreases the money supply.

What is the new equilibrium point?



22-D:

Expansionary monetary policy aims to increase aggregate demand by injecting more money into the economy. By issuing more notes and coins, the central bank increases the money supply, which lowers interest rates, thereby encouraging borrowing, consumption, and investment, which are key drivers of AD growth. Thus, Option D is correct.

Option A is incorrect. Increasing interest rates for commercial banks is a contractionary monetary policy, which discourages borrowing for spending and investment purposes.

Option B is incorrect. Raising interest rates on the national debt makes government borrowing more expensive. When it reduces government spending, it will have a contractionary effect on Aggregate demand.

Option C is incorrect. Restricting bank credit dampens aggregate demand by reducing the ability of households to borrow money for spending on durables.

23-D:

Correct answer: D — high unemployment and a low level of investment

These conditions reflect a **recessionary gap**, as there is low output and underutilised resources. To stimulate Aggregate demand and restore growth, governments adopt **expansionary fiscal and monetary policy**: cutting taxes to boost disposable income and reducing interest rates to encourage investment. Thus, Option D fits best.

Option A is incorrect. If there's **demand-pull inflation**, reducing taxes and interest would worsen it. Expansionary policy, for example expansionary fiscal policy, gives households more disposable income. This typically leads to higher consumption, part of which leaks out into increased demand for imports (e.g., foreign cars, electronics, raw materials). As a result, the trade deficit worsens, putting more pressure on the current account.

Option B is incorrect. If there's **demand-pull inflation**, reducing taxes and interest would worsen it.

Option C is incorrect. A **current account deficit** makes expansionary policy risky, as it may worsen external imbalances.

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24-A:

Higher interest rates make **borrowing more expensive** for households and firms. This leads to lower consumer spending. As domestic demand weakens, **demand for imports also falls**, since fewer people and firms can afford imported goods and services. This helps to **reduce the trade deficit**, a major component of the BoP deficit. Since contractionary monetary policy is a part of expenditure dampening policy, key A becomes correct.

B) An appreciation of the domestic currency can worsen the current account deficit by making exports more expensive and imports cheaper. As the stronger currency raises the price of domestic goods for foreign buyers, export demand falls, reducing export earnings. Simultaneously, cheaper imports encourage higher import spending by domestic consumers. This results in a decline in net exports, the key component of the current account, thereby widening the deficit despite no change in underlying production or consumption capacity.

C) A reduction in direct taxes increases disposable income, boosting domestic demand. This often leads to higher spending on imports, causing net exports to fall. As a result, the current account deficit worsens due to increased import expenditure.

D) A reduction in subsidies to domestic industries can increase the current account deficit by raising production costs, making local goods less competitive internationally. This can reduce exports while making imports more attractive to domestic consumers. As exports fall and imports rise, net exports decline, worsening the current account balance.

25-B:

Option B is correct because a sales tax on all textiles applies equally to both domestic and imported goods. It does not alter their relative prices, so it offers no protective advantage to local producers. As a result, it has minimal effect on the volume of textile imports.

Option A is incorrect because a ban completely prohibits imports, eliminating them entirely. This is the most extreme form of protectionism and has the greatest impact on imports.

Option C is incorrect as a tariff raises the price of imported textiles, making them less competitive. This discourages imports and shifts demand toward domestic alternatives, reducing import volumes.

Option D is incorrect because mandatory quality standards can act as non-tariff barriers. They may be difficult for foreign producers to meet, especially if tailored to local capabilities, thus indirectly reducing imports.

26-B:

A) This refers to the import of goods, which is recorded in the balance of trade of goods section of the current account, not the primary income account. The primary income account includes flows of investment income and compensation of employees, not the trade in physical products. Therefore, this option would not explain the worsening of the primary income account deficit.

B) An increase in investment dividends paid to foreigners relates to the primary income account, as dividends paid to foreign investors are a form of investment income outflow. If a country pays more dividends to foreign shareholders, its primary income deficit increases because more income is leaving the country. Hence, this option would contribute to the deficit rising from \$20 billion to \$50 billion.

C) A fall in exports would reduce export earnings, worsening the current account balance, but it has no effect on income flows. So, this option is not relevant to the primary income deficit.

D) Tourism-related spending is recorded under trade of services in the current account. When foreign tourists spend less, service exports fall, which impacts the trade of invisibles balance, not the primary income account. Since tourist expenditure is not part of primary income, this option is incorrect.

27-B:

To calculate absolute advantage, we **look at the larger of the numbers for each product.**

We calculate the opportunity cost ratios to identify the comparative advantage of a country.

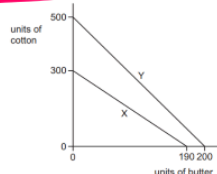
Absolute Advantage :-

	Butter	Cotton
X	190	300
Y	200	500

country Y can produce a greater quantity of both goods as compared to country X $\Rightarrow$

* It has an absolute advantage in both goods

27 The diagram shows the amounts of cotton and butter that can be produced in countries X and Y with a given quantity of resources.



What can be concluded from the diagram?

- A Country X has an absolute advantage in the production of cotton.
- B Country X has a comparative advantage in the production of butter.**
- C Country Y has a comparative advantage in the production of both goods.
- D There are no gains from trade between these two countries.

① Butter : cotton
 $200 B : 500 C$
 $1B : \frac{500 C}{200}$

$1B : 2.5C$

calculate opportunity cost ratios $\Rightarrow$

Butter : cotton
 $190B : 300C$
 $1B : \frac{300 C}{190}$

$1B : 1.58C$

opportunity cost of producing butter

comparative Advantage of X

Comparative Advantage of Y

country X has a lower opportunity cost ratio of producing butter

$\downarrow$
 specialize in butter

* This means Y has a lower opp cost ratio of producing cotton.

This explains why key B is correct.

28-C:

Correct answer: C – the purchasing power of its exports relative to its imports

The terms of trade refer to the rate at which a country's exports exchange for its imports. Specifically, it measures how many units of imports can be purchased with one unit of exports. Thus, it reflects the value of exports in terms of the quantity of imports they can buy.

Option A is incorrect because the terms of trade do not measure how dependent an economy is on imports. A country may have good or poor terms of trade regardless of how much it imports.

Option B is incorrect. Competitiveness relates more to productivity, costs, and price levels relative to trading partners, not the **export-import price ratio** itself.

Option D is incorrect as the terms of trade do not directly reflect the strength of a country's currency. Exchange rates can affect export and import prices, but the terms of trade specifically measure the relative prices of exports and imports, not currency strength in the forex market.

29-B:

To buy a US firm, a foreign investor needs to **convert their currency into US dollars** to complete the purchase. This increases the **demand for USD** in the foreign exchange market, pushing the dollar's value up. Hence, Option B is correct.

Option A is incorrect. **Dividends paid from US firms to foreigners** increase the **supply of USD**, as to pay to foreigners, conversion in local currencies will have to be done.

Option C is incorrect. **Remittances** from the US involve converting USD **into other currencies** — increasing USD supply, not demand.

Option D is incorrect. The **US government** wanting foreign reserves means it **demands other currencies**, not USD.

30-D:

The **current account** includes:

- Trade in goods and services
- Primary income (e.g. dividends, compensation of employees)
- Secondary income (e.g. aid, remittances)

Foreign direct investment (FDI) is recorded in the **financial account**, as it involves **ownership of assets across borders**. Thus, Option D is not part of the current account.

Option A is incorrect. **International aid** is part of **secondary income**, under the current account.

Option B is incorrect. **Trade in goods** is a component of the current account.

Option C is incorrect. **Trade in services** (e.g. tourism, education) is a core component of the current account.

